portfolio of special situation trades as they did in the fund—the types of trades Greenblatt detailed in *You Can Be a Stock Market Genius*. The returns for this proprietary account are not available. Off the record, Greenblatt did tell me the average return for the account subsequent to the return of investor money. Let's just say that Gotham continued to do extremely well (far better than the vast majority of hedge funds), although not approaching the lofty average return of the terminated fund.

Greenblatt's second book, *The Little Book That Beats the Market*—the man is not timid when it comes to titles—grew out of a research project. In 2003, he hired a programmer to test how two key metrics that together were representative of his investment selection criteria—picking companies that were cheap and good—actually performed in the markets. Greenblatt used *earnings yield* to represent cheapness and *return on capital* to represent goodness.[1] The two measures were combined in a single ranking that worked even better than Greenblatt and Goldstein expected. Greenblatt named this combined ranking indicator the *Magic Formula*, a name that implicitly pokes fun at the hype accompanying market indicators, but also acknowledges the surprising efficacy of the measure (as empirically demonstrated). In fact, Greenblatt and Goldstein were so impressed with the Magic Formula that they set up an eponymous website to use it as the basis for managing stock portfolios.

The success of the initial research project led to a major expansion of the research endeavor in which Gotham spent "tens of millions" to develop and test a more sophisticated construction and application of value indicators. The proprietary indicators used were conceptually similar to the magic formula, but were considerably more complex and yielded more accurate measures of value. The results were so good that the partners shifted Gotham's money management methodology from a concentrated special situations focus to a diversified systematic value approach. The new diversified approach also had much greater capacity, effectively removing the reason that had prompted the return of investor capital in the original Gotham fund. In 2009, Gotham returned to the world of money management, launching two long/short funds, one large cap and one small-to-mid cap. So 15 years after having returned investor money and believing himself to be permanently out of the money management business,